NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Department : COMPLIANCE
Download Ref No: NSE/COMP/50957
Circular Ref. No: 02/2022
Date : January 07, 2022

To All Members,

Sub: Clarification to Rule 8(1)(f) of the Securities Contracts (Regulation) Rules, 1957 - Illustrative Activities

Dear Members,

Attention of members is drawn to Rule 8(1)(f) of the Securities Contracts (Regulation) Rules, 1957 regarding permissible an

The Exchange has compiled an illustrative list of prohibited and restricted business activities in Annexure A.

Annexure A
Illustrative List of Activities

Point No. 1: Financing securities transactions of clients directly or indirectly without regulatory clearance.
Point No. 2: Sharing client brokerage or commission with unregistered entities or unauthorized intermediaries.
Point No. 3: Engaging in proprietary commodity arbitrage without maintaining separate earmarked capital adequacy.
Point No. 4: Operating offshore branch offices without prior written intimation to the Exchange.
Point No. 5: Providing margin loans at discretionary undisclosed interest rates.
Point No. 6: Facilitating unapproved fund routing through non-banking financial entities.

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Point No. 7: Conducting client portfolio management schemes without obtaining SEBI PMS registration.
Point No. 8: Entering into bilateral derivative swaps with unhedged retail counterparties.
Point No. 9: Accepting cash deposits or bearer instruments towards trading margins.
Point No. 10: Issuing guaranteed return advisory services to equity investors.
Point No. 11: Delegating core KYC and anti-money laundering verification to third-party marketing agents.
Point No. 12: Providing unapproved algorithmic trading execution without exchange system audits.

All members are advised to take note of the above and ensure strict compliance.

For and on behalf of
National Stock Exchange of India Limited

Compliance Officer